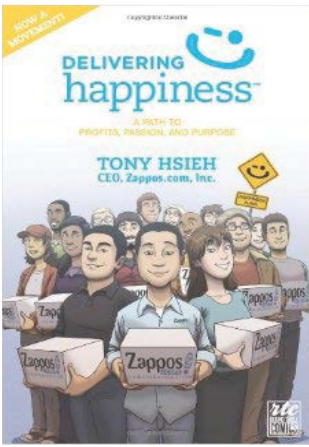




DELIVERING HAPPINESS

A PATH TO PROFITS, PASSION AND PURPOSE

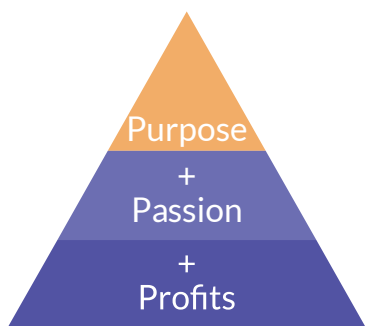
by Tony Hsieh

The Big “So What” ???

Tony Hsieh shares how he built Zappos from nothing to its eventual sale (or marriage) to Amazon for \$1.2 billion. It's a valuable case study on:

- How to develop a successful start-up;
- How to create a happy workplace that generates sustainable returns for employees and the company; and
- How to follow your passions to create your own path to success

Introduction



Hsieh organized his book into 3 parts. In “Profits”, he shared his entrepreneurship journey from childhood till he was in college. In “Profits and Passion”, he details the business journey and insights as he brought Zappos from a struggling start-up to its acquisition by Amazon.

In “Profits, Passion and Purpose”, he shares how Zappos broadened its vision to Delivering Happiness to the world, before closing with how each of us can chart our personal path to happiness.

This summary is organized in 3 parts to present useful ideas from the book that can be applied:

- Personal insights from Hsieh's personal journey and philosophy
- Business insights from Zappos' success story
- Finding your Path: 4 Frameworks for Happiness

KEY QUOTES

“I decided to write this book to help people avoid making many of the same mistakes that I’ve made. I also hope that this book will serve as encouragement to established businesses as well as entrepreneurs who want to defy conventional wisdom and create their own paths to success.”

“I thought about how easily we are all brainwashed by our society and culture to stop thinking and just assume by default that more money equals more success and more happiness, when ultimately happiness is really just about enjoying life.”

1. Insights from Hsieh's personal journey

Hsieh is a masterful story-teller, and it is impossible to replicate his vivid stories through a summary. [In this segment we provide a few highlights of his journey and his aha moments.](#)

From young, Hsieh has had an entrepreneurial streak in him. From attempting an earthworm breeding business at the age of 9, to running garage sales, to trying his own newspaper to sell ads, to running a mail-order button business in middle school, to crowdsourcing for a study guide and selling pizzas in college, he has developed a real understanding of money, profits and what matters to him. He shares about each of these ventures in great detail and with a lot of humour. [Through these stories, we get a glimpse into his learning experiences and insights, many of which also shape his philosophy and approach to business.](#)

There were a few significant “aha” moments on Hsieh's journey:



The importance of company culture

In 1996, Hsieh co-founded LinkExchange, an internet advertising cooperative. During the first year, they hired friends and people who were attracted by the fun and excitement of what they were creating. The team was dynamic, close-knit and the company grew rapidly. As they grew beyond 25 employees, they started to hire people who were smart but more motivated by money and career growth, and the culture started to shift. By 1998, when the company was sold to Microsoft for US\$265 million with about 100 staff, Hsieh realized that he was no longer enjoying his business. This was his first major lesson on the importance of company culture.

KEY QUOTES

*“Envision, create and believe in your own universe, and the universe will form around you”
– a stranger that Hsieh met at a party.”*

“I'd realized that whether in poker, in business, or in life, it was easy to get caught up and engrossed in what I was currently doing, and that made it easy to forget that I always had the option to change tables...Without conscious and deliberate effort, inertia always wins.”

*“I didn't know it at the time, but ten years later I would learn that... the combination of physical synchrony with other humans and being part of something bigger than oneself (and thus losing momentarily a sense of self) leads to a greater sense of happiness.”
– Hsieh on his experience with rave culture*



Discovering his passions and path

Like most people, Hsieh discovered his true passions through real-life experience. Hsieh left his job at Oracle after 5 months (because he was bored) to focus on a web-design business. He learned quickly that he didn't enjoy web design either, and moved on to start Link Exchange, which was sold to Microsoft in 1998.

By early 1999, Hsieh decided to forgo a large sum of money to leave Microsoft and pursue his passions. "I didn't realize it at the time, but it was a turning point for me in my life. **I had decided to stop chasing the money, and start chasing the passion.**"

He moved on to start Venture Frogs, a \$27 million investment fund (of which Zappos was one of the investments). Hsieh lost a lot of money in investments, the stock market, movies, etc., but learned more about himself, his passions and business along the way. He drew many parallels between business and poker (something he got interested in for a while), and shared one of his key insights about business and life: "**I learned that the most important decision I could make was which table to sit at. This included knowing when to change tables...In business, one of the most important decisions for an entrepreneur or a CEO to make is what business to be in.**"



The power of Connectedness

When planning for his 26th birthday party, Hsieh had a transformational experience at a party, when he experienced a profound sense of connection with the other people and the rest of the universe.

He was exposed to "rave culture", a youth-oriented subculture that blends music, art and social ideals. In the process, he learned how to be genuinely interested in other people, with no hidden motives. "**The rave culture was a reminder that it was possible for the world to be a better place, for people to simply be appreciative of the humanity in one another**".

KEY QUOTES

2. The Zappos Story: Lessons for Business

In many ways, Zappos is an embodiment of Hsieh's values and passions. Hsieh details how he and his partners successfully grew Zappos from scratch to achieving annual gross merchandise sales of over \$1 billion. The company also has a set of distinctive and integrated core values that permeates all levels of the organization, and extends its open, honest and collaborative approach to all of its stakeholders.

Zappos went through its share of challenges, especially in the first 2 years of business. Hsieh and his partners struggled to find the right business model, and grappled with problems of cash-flow, inventory, logistics etc. [Hsieh attributes Zappos' success to their initial investment and focus in 3 areas: customer service, culture and training.](#)



Customer Service

[Repeat customers and word-of-mouth are the key drivers for Zappos' growth today, and this foundation is built through its commitment to customer service.](#)

Top 10 Ways to Instill Customer Service Into Your Company



A commitment to customer-service comes from the top, and must be a priority for the whole company, not just one department.



Build WOW into your company's daily vocabulary.



Trust that your customer service reps want to provide great service, and empower them to do so.



Make it ok to fire customers who are insatiable or abuse your employees.

KEY QUOTES

"Looking back, a big reason we hit our goal early was that we decided to invest our time, money and resources into three key areas: customer service (which would build our brand and drive word of mouth), culture (which would lead to the formation of our core values), and employee training and development (which would eventually lead to the creation of our Pipeline Team)."

Customer experience

"As unsexy and low-tech as it may sound, our belief is that the telephone is one of the best branding devices out there. You have the customer's undivided attention for five to ten minutes, and if you get the interaction right, what we've found is that the customer remembers the experience for a very long time and tells his or her friends about it."



Display your 1-800 number prominently – send the right message to your customers and employees.



View each client's call as an investment in your brand, not as an expense to minimize.



Don't focus on call times and upselling, and don't use scripts.



Celebrate great service and tell WOW stories in the whole company.



Find and hire people who are passionate about great service.



Extend great service to everyone, including customers, employees and vendors.

Zappos views customer service as an integral part of their brand, and believes that **marketing should be about building engagement and trust (especially post-sale) rather than just generating buzz**. Some examples of its exceptional service include: free shipping both ways (to deliver the shoes to customers and for customers to return shoes they have tried but don't like) and their 365-day return policy.

While many of its measures are costly, Zappos views them as a marketing investment that creates an emotional connection with customers, generates word-of-mouth marketing and increases the lifetime value of customers.



Culture

With internet, everything has become transparent. **The best way to develop an authentic brand is to ensure that your company's brand and culture are one and the same**, i.e. everyone in the company genuinely embraces the core values as an integral part of their lives.

KEY QUOTES

Culture

"We believe that your company's culture and your company's brand are really just two sides of the same coin. The brand may lag the culture at first, but eventually it will catch up. Your culture is your brand."

Zappos' 10 core values were not defined by the founders, but derived from a feedback process to identify what Zappos really meant to each employee. Hsieh spends over 30 pages sharing about each of these 10 core values and how they are brought to life at Zappos.

Zappos' Ten Core Values

1. Deliver WOW Through Service.
2. Embrace And Drive Change.
3. Create Fun And A Little Weirdness.
4. Be Adventurous, Creative And Open-Minded.
5. Pursue Growth And Learning.
6. Build Open And Honest Relationships With Communication.
7. Build A Positive Team And Family Spirit.
8. Do More With Less.
9. Be Passionate And Determined.
10. Be Humble.

Hsieh shares many examples of how Zappos' culture is reinforced and communicated, from designing a central reception area that all employees will pass through (hence increasing interaction), to offering tours of their HQ, to "the face game" to help employees know one another, to regular surveys, to creating a library for employees to read and learn etc. It doesn't matter if these values are directly relevant to your company; his message is this: [Commit fully to your core values, until they are the default way that your organization thinks and acts.](#)

Hsieh also shares several unique ways in which Zappos' culture is shaped and strengthened:



The Zappos Culture Book

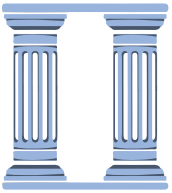
This book captures Zappos' culture and values, based on contributions by Zappos' employees, vendors, customers and partners. True to Zappos' belief in transparency, none of the entries are censored or edited (save for typos), and the book is made available to not just employees, but also

KEY QUOTES

"As it turns out, it doesn't actually matter what your company's core values are. What matters is that you have them and that you commit to them. What's important is the alignment that you get from them when they become the default way of thinking for the entire organization."

"Your personal core values define who you are, and a company's core values ultimately define the company's character and brand."

members of the public. Over time, this has become a way for employees to freely express themselves, and is a good documentation of how the culture evolves over time. Hsieh includes a segment on how to develop your own culture book (if this is something you resonate with).



Hiring right and training

are both key elements to building and maintaining the culture at Zappos.

- Candidates are only accepted into Zappos if they pass 2 tests: having the right experience, technical ability, team fit etc. (assessed by the hiring manager) and having the right culture fit (assessed by the HR department).
- Every employee, regardless of their department, goes through same 4-week training program. To weed out those who are there for the wrong reasons, all candidates are offered \$2,000 to quit after the 1st week of training till the end of the 4th week.

Hsieh highlights the importance of committing to your core values, such that “you’re willing to hire and fire based on them.”



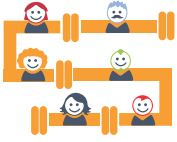
Alignment across all stakeholders

Hsieh shares various stories and examples to show the importance of aligning all stakeholders – from employees to customers, vendors and even the Board of Directors. Hsieh shared in detail (including internal emails) to show how they held true to their values of openness and honesty when handling a round of layoffs in 2008 and announcing their acquisition by Amazon in 2009.

KEY QUOTES



Employee Training and Development



Zappos' commitment to its core value of Growth and Learning has led to the creation of their pipeline concept. Rather than focus on individual talents, they **develop pipelines of people in every department, with various skills and experience.** They aim to hire passionate people at an entry level, and grow them internally, with the opportunity to be a senior leader in 5-7 years. Books and courses are offered by their Pipeline Team to develop their staff.

Purpose: Going Beyond Profits and Passion

- As Zappos grew, there were more and more public speaking opportunities for Hsieh to share about his and Zappos' success.

Over time, Hsieh has adopted **3 basic rules for his talks** which helped him to stay in flow and deliver the most impactful speeches:

- Be passionate (he'll decline topics that he's not passionate about)
 - Tell personal stories
 - Be real
- Staying true to Zappos' core value of Pursuing Growth and Learning, he focuses on using the speaking engagements to help the audience to grow and learn, rather than to promote Zappos. **Hsieh and his team soon realized that they were helping to change other companies and people's lives,** and expanded their materials into Zappos Insights and Zappos Insights Live. In 2009, they expanded their vision to a simple but powerful statement: "Zappos is about delivering happiness to the world".

KEY QUOTES

Pipeline Team

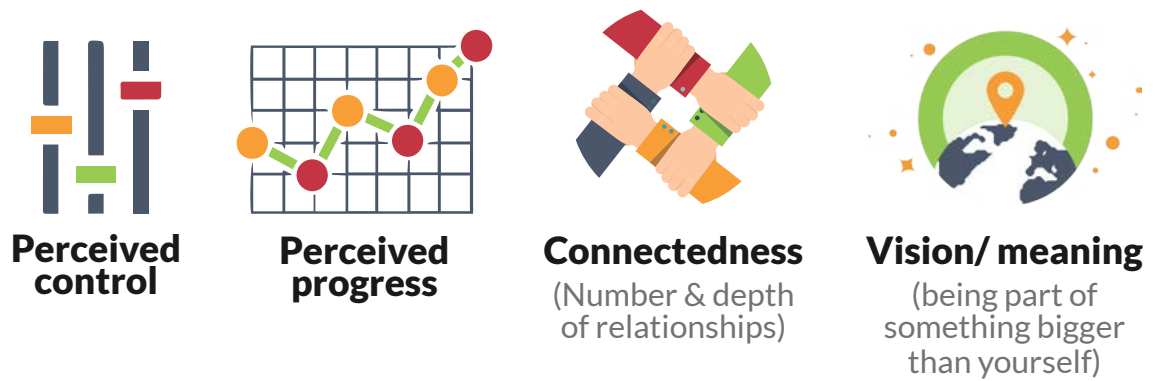
"Rather than focusing on individuals as assets, we instead focus on building as our asset a pipeline of people in every single department with varying levels of skills and experience."

3. Finding Your Path to Happiness

Hsieh ends his book by shifting the attention to the reader and the psychology behind happiness. He summarises his research and the ideas that have helped him to find his own path.

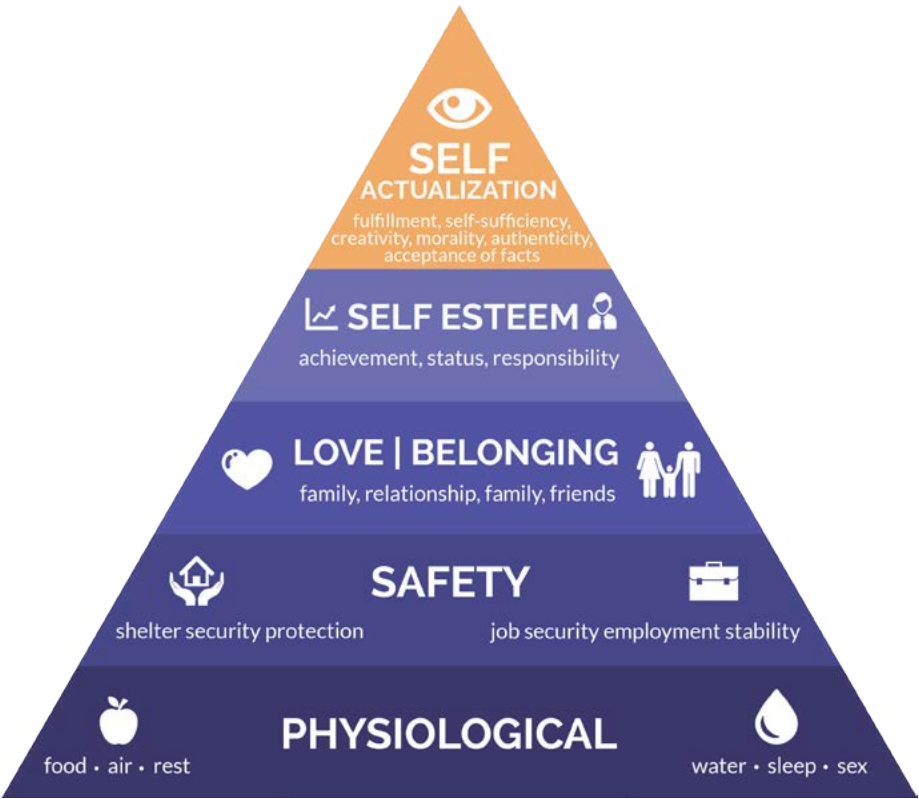
Framework 1: Happiness Ingredients

There are **essentially 4 key ingredients to happiness**, and Hsieh shares how Zappos builds each of these ingredients into its organization:



Framework 2: Serving Business Stakeholders' Needs

We can apply Maslow's Hierarchy to **better serve the needs of our stakeholders in business**.



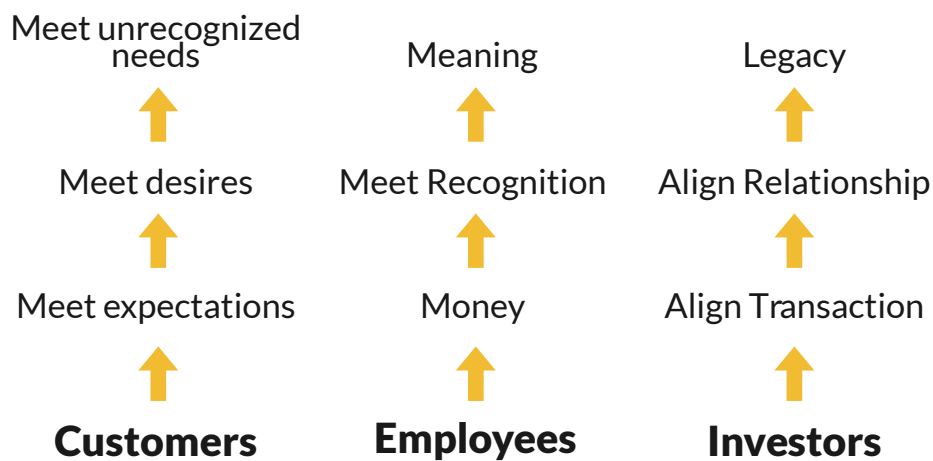
KEY QUOTES

"If you just focus on making sure that your product or service continually WOWs people, eventually the press will find out about it."

"As we rolled out these additional services, we slowly realized that we were becoming part of a bigger movement. It was no longer just about Zappos. We were helping to change the world."

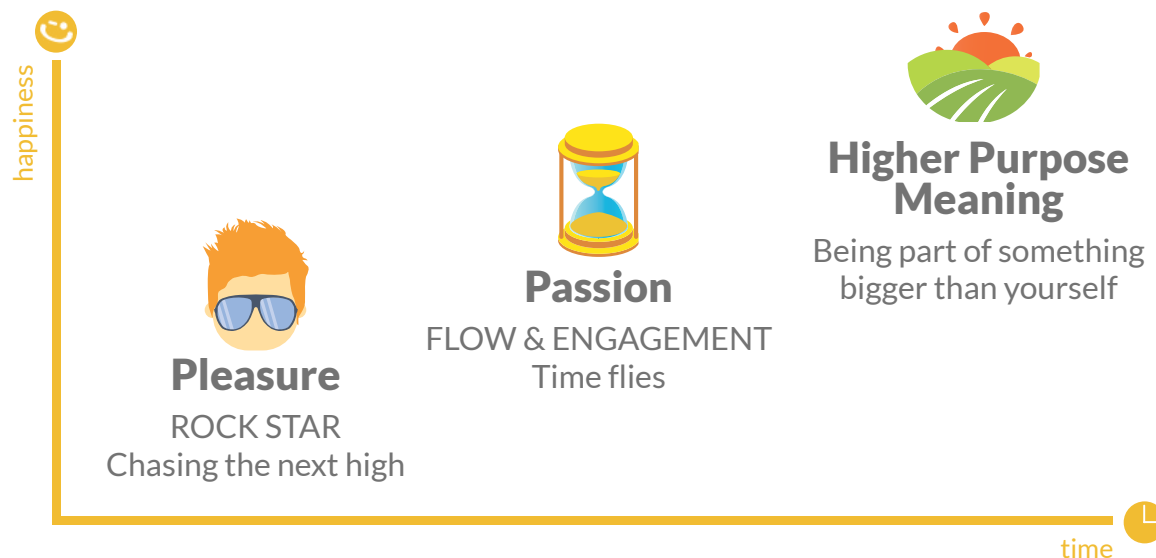
Happiness

"In the end, it turns out that we're all taking different paths in pursuit off the same goal: happiness."

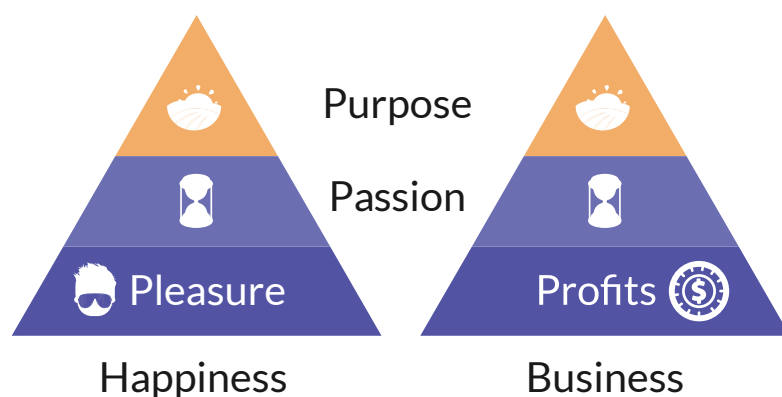


Framework 3: Types of Happiness

There are 3 types of happiness. Since achievement of higher purpose brings the most lasting form of happiness, we should start focusing there, and layer it on top of passion and pleasure.



Framework 4: Parallels of Happiness and a Great Business



Hsieh shares the parallel between what makes people happy and what builds sustainable companies. He recommends using happiness as a guiding principle to build great, long-term organizations.

KEY QUOTES

"I wanted to write this book... to contribute to a happiness movement to help make the world a better place."